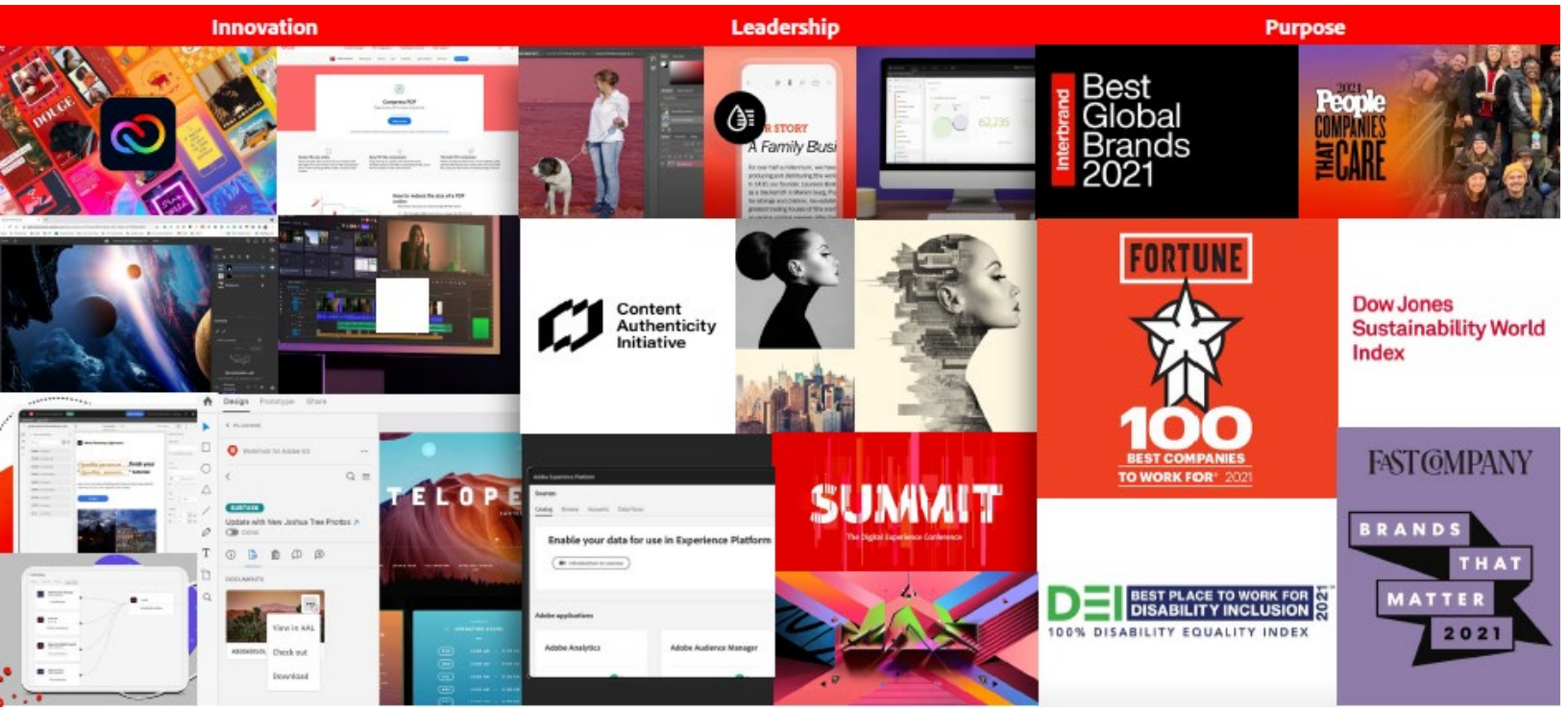
Adobe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ADOBE INC.

CONSOLIDATED BALANCE SHEETS

(In millions, except par value)

	November 27, 2020	November 29, 2019
ASSETS		
Current assets:		
Cash and cash equivalents	$ 4,478	$ 2,650
Short-term investments	1,514	1,527
Trade receivables, net of allowances for doubtful accounts of $21 and of $10, respectively	1,398	1,535
Prepaid expenses and other current assets	756	783
Total current assets	8,146	6,495
Property and equipment, net	1,517	1,293
Operating lease right-of-use assets, net	487	—
Goodwill	10,742	10,691
Other intangibles, net	1,359	1,721
Deferred income taxes	1,370	—
Other assets	663	562
Total assets	$ 24,284	$ 20,762
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Trade payables	$ 306	$ 209
Accrued expenses	1,422	1,399
Debt	—	3,149
Deferred revenue	3,629	3,378
Income taxes payable	63	56
Operating lease liabilities	92	—
Total current liabilities	5,512	8,191
Long-term liabilities:		
Debt	4,117	989
Deferred revenue	130	123
Income taxes payable	529	616
Deferred income taxes	10	140
Operating lease liabilities	499	—
Other liabilities	223	173
Total liabilities	11,020	10,232
Commitments and contingencies		
Stockholders' equity:		
Preferred stock, $0.0001 par value; 2 shares authorized; none issued	—	—
Common stock, $0.0001 par value; 900 shares authorized; 601 shares issued; 479 and 483 shares outstanding, respectively	—	—
Additional paid-in-capital	7,357	6,504
Retained earnings	19,611	14,829
Accumulated other comprehensive income (loss)	(158)	(188)
Treasury stock, at cost (122 and 118 shares, respectively)	(13,546)	(10,615)
Total stockholders' equity	13,264	10,530
Total liabilities and stockholders' equity	$ 24,284	$ 20,762

See accompanying Notes to Consolidated Financial Statements.

ADOBE INC.

CONSOLIDATED STATEMENTS OF INCOME

(In millions, except per share data)

	Years Ended		
	November 27, 2020	November 29, 2019	November 30, 2018
Revenue:			
Subscription	$ 11,626	$ 9,634	$ 7,604
Product	507	648	622
Services and other	735	889	804
Total revenue	12,868	11,171	9,030
Cost of revenue:			
Subscription	1,108	926	574
Product	36	40	46
Services and other	578	707	575
Total cost of revenue	1,722	1,673	1,195
Gross profit	11,146	9,498	7,835
Operating expenses:			
Research and development	2,188	1,930	1,538
Sales and marketing	3,591	3,244	2,621
General and administrative	968	881	745
Amortization of intangibles	162	175	91
Total operating expenses	6,909	6,230	4,995
Operating income	4,237	3,268	2,840
Non-operating income (expense):			
Interest expense	(116)	(157)	(89)
Investment gains (losses), net	13	52	3
Other income (expense), net	42	42	40
Total non-operating income (expense), net	(61)	(63)	(46)
Income before income taxes	4,176	3,205	2,794
Provision for (benefit from) income taxes	(1,084)	254	203
Net income	$ 5,260	$ 2,951	$ 2,591
Basic net income per share	$ 10.94	$ 6.07	$ 5.28
Shares used to compute basic net income per share	481	486	491
Diluted net income per share	$ 10.83	$ 6.00	$ 5.20
Shares used to compute diluted net income per share	485	492	498

See accompanying Notes to Consolidated Financial Statements.

ADOBE INC.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(In millions)

	Years Ended		
	November 27, 2020	November 29, 2019	November 30, 2018
	Increase/(Decrease)		
Net income	$ 5,260	$ 2,951	$ 2,591
Other comprehensive income (loss), net of taxes:			
Available-for-sale securities:			
Unrealized gains / losses on available-for-sale securities	3	29	(24)
Reclassification adjustment for recognized gains / losses on available-for-sale securities	(1)	—	11
Net increase (decrease) from available-for-sale securities	2	29	(13)
Derivatives designated as hedging instruments:			
Unrealized gains / losses on derivative instruments	(44)	—	74
Reclassification adjustment for realized gains / losses on derivative instruments	6	(44)	(49)
Net increase (decrease) from derivatives designated as hedging instruments	(38)	(44)	25
Foreign currency translation adjustments	66	(25)	(48)
Other comprehensive income (loss), net of taxes	30	(40)	(36)
Total comprehensive income, net of taxes	$ 5,290	$ 2,911	$ 2,555

See accompanying Notes to Consolidated Financial Statements.

ADOBE INC.

CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY

(In millions)

	Common Stock		Additional Paid-In Capital	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Treasury Stock		Total
	Shares	Amount				Shares	Amount	
Balances at December 1, 2017	601	$ —	$ 5,082	$ 9,574	$ (112)	(109)	$ (6,085)	$ 8,459
Net income	—	—	—	2,591	—	—	—	2,591
Other comprehensive income (loss), net of taxes	—	—	—	—	(36)	—	—	(36)
Re-issuance of treasury stock under stock compensation plans	—	—	(1)	(349)	—	5	148	(202)
Purchase of treasury stock	—	—	—	—	—	(9)	(2,050)	(2,050)
Equity awards assumed for acquisition	—	—	3	—	—	—	—	3
Stock-based compensation	—	—	601	—	—	—	—	601
Value of shares in deferred compensation plan	—	—	—	—	—	—	(4)	(4)
Balances at November 30, 2018	601	$ —	$ 5,685	$ 11,816	$ (148)	(113)	$ (7,991)	$ 9,362
Impacts of adoption of the new revenue standard	—	—	—	442	—	—	—	442
Net income	—	—	—	2,951	—	—	—	2,951
Other comprehensive income (loss), net of taxes	—	—	—	—	(40)	—	—	(40)
Re-issuance of treasury stock under stock compensation plans	—	—	48	(380)	—	5	125	(207)
Purchase of treasury stock	—	—	—	—	—	(10)	(2,750)	(2,750)
Stock-based compensation	—	—	771	—	—	—	—	771
Value of shares in deferred compensation plan	—	—	—	—	—	—	1	1
Balances at November 29, 2019	601	$ —	$ 6,504	$ 14,829	$ (188)	(118)	$ (10,615)	$ 10,530
Net income	—	—	—	5,260	—	—	—	5,260
Other comprehensive income (loss), net of taxes	—	—	—	—	30	—	—	30
Re-issuance of treasury stock under stock compensation plans	—	—	(56)	(478)	—	4	123	(411)
Purchase of treasury stock	—	—	—	—	—	(8)	(3,050)	(3,050)
Stock-based compensation	—	—	909	—	—	—	—	909
Value of shares in deferred compensation plan	—	—	—	—	—	—	(4)	(4)
Balances at November 27, 2020	601	$ —	$ 7,357	$ 19,611	$ (158)	(122)	$ (13,546)	$ 13,264

See accompanying Notes to Consolidated Financial Statements.

ADOBE INC.

CONSOLIDATED STATEMENTS OF CASH FLOWS

(In millions)

	Years Ended		
	November 27, 2020	November 29, 2019	November 30, 2018
Cash flows from operating activities:			
Net income	$ 5,260	$ 2,951	$ 2,591
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation, amortization and accretion	757	757	346
Stock-based compensation	909	788	610
Reduction of operating lease right-of-use assets	87	—	—
Deferred income taxes	(1,501)	3	(469)
Unrealized losses (gains) on investments, net	(11)	(48)	1
Other non-cash items	40	14	7
Changes in operating assets and liabilities, net of acquired assets and assumed liabilities:			
Trade receivables, net	106	(188)	(2)
Prepaid expenses and other assets	(288)	(551)	(77)
Trade payables	96	23	55
Accrued expenses and other liabilities	86	172	44
Income taxes payable	(72)	4	479
Deferred revenue	258	497	444
Net cash provided by operating activities	5,727	4,422	4,029
Cash flows from investing activities:			
Purchases of short-term investments	(1,071)	(700)	(566)
Maturities of short-term investments	915	700	766
Proceeds from sales of short-term investments	167	86	1,709
Acquisitions, net of cash acquired	—	(101)	(6,314)
Purchases of property and equipment	(419)	(395)	(267)
Purchases of long-term investments, intangibles and other assets	(15)	(49)	(18)
Proceeds from sales of long-term investments and other assets	9	3	5
Net cash used for investing activities	(414)	(456)	(4,685)
Cash flows from financing activities:			
Purchases of treasury stock	(3,050)	(2,750)	(2,050)
Proceeds from re-issuance of treasury stock	270	233	191
Taxes paid related to net share settlement of equity awards	(681)	(440)	(393)
Proceeds from issuance of debt	3,144	—	2,248
Repayment of debt	(3,150)	—	—
Other financing activities, net	(21)	11	(1)
Net cash used for financing activities	(3,488)	(2,946)	(5)
Effect of foreign currency exchange rates on cash and cash equivalents	3	(13)	(2)
Net increase (decrease) in cash and cash equivalents	1,828	1,007	(663)
Cash and cash equivalents at beginning of year	2,650	1,643	2,306
Cash and cash equivalents at end of year	$ 4,478	$ 2,650	$ 1,643
Supplemental disclosures:			
Cash paid for income taxes, net of refunds	$ 469	$ 352	$ 210
Cash paid for interest	$ 88	$ 152	$ 81
Non-cash investing activities:			
Issuance of common stock and stock awards assumed in business acquisitions	$ —	$ —	$ 3

See accompanying Notes to Consolidated Financial Statements.